Fundamental Principle Of Managerial Economics

Presented by:

Sawan Kumar
Shalu Singh
Shipra Singh
Shail Yadav

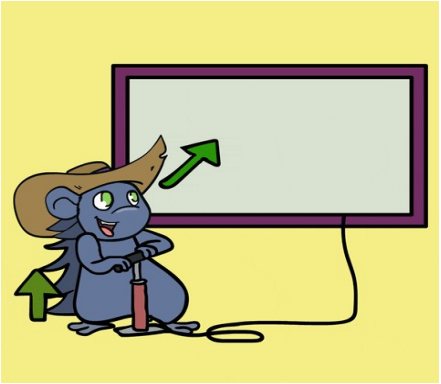
FUNDAMENTAL CONCEPTS/PRINCIPLES IN MANAGERIAL ECONOMICS

Economic theory provides a number of concepts and analytical tools which can be of considerable and immense help to a manager in taking many decisions and business planning.

The contribution of economics to managerial economics lies in certain principles which are basic to managerial economics. There are five basic principles of managerial economics. They are:

1. **The Incremental Principle**
2. **The Principle of Time Perspective**
3. **The Opportunity Cost Principle**
4. **The Discounting Principle**
5. **The Equi marginal Principle**

1. INCREMENTAL PRINCIPLE



Incremental concept is closely related to the marginal cost and marginal revenues of economic theory.

The two major concepts in this analysis are incremental cost and incremental revenue.

a) Incremental Cost: Incremental cost may be defined as the change in total cost resulting from a particular decision.

b) Incremental Revenue: Incremental revenue is the change in total revenue resulting from a particular decision.

ACCORDING TO INCREMENTAL PRINCIPLE, A DECISION IS PROFITABLE IF:

(i) It increases revenue more than costs.
(ii) It decreases some cost to a greater extent than it increases others.
(iii) It increases some revenues more than it decreases others.
(iv) It reduces costs more than revenues.

Example:

Sr.no	Unit	Fixed cost	Variable	Total cost
Case 1	1,000	1,00,000	1,00,000	2,00,000
Case 2	1500	1,00,000	1,50,000	2,50,000

2. TIME PERSPECTIVE PRINCIPLE

Time Perspective in Economic Decision-Making

- The **time perspective** concept emphasizes that decision-makers should consider both **short-run** and **long-run** impacts of their actions.
- A decision that appears profitable in the short run may have very different outcomes in the long run.

This concept is crucial for sound economic planning and business strategy.

Marshall's Contribution

Alfred Marshall introduced the **time element** in economic theory.

He distinguished between **short run** and **long run** based on how firms can adjust their inputs.

2. TIME PERSPECTIVE PRINCIPLE

Aspect	Short Run	Long Run
Input flexibility	Some inputs (e.g., capital) are fixed	All inputs can be varied
Firm’s ability to adjust	Can change output without changing size	Can change both output and size
Industry output	Limited, due to fixed factors	Expandable, as firms can grow
Time frame	Limited period	Sufficient time for full adjustment

Example: A Bakery Business

Short Run: A bakery receives a sudden spike in demand during a festival week. It hires temporary workers and runs extra shifts using the same ovens. Output increases, but capacity remains fixed.

Long Run: Seeing a consistent rise in demand over months, the owner invests in more ovens, expands the shop, and hires permanent staff. Now, the bakery's total production capacity increases.

3. OPPORTUNITY COST PRINCIPLE

Definition

Opportunity cost is the **value of the next best alternative** foregone when a choice is made.

Opportunity Cost: The Cost of Sacrifice

Resources are limited, so we can't produce everything we want.

Choosing one option means **giving up** another — this trade-off is called **opportunity cost**.

3. OPPORTUNITY COST PRINCIPLE

Key Points

Involves **measuring sacrifices** when resources are used.

Sacrifices can be **monetary or real** (time, effort, output).

Known as the **cost of sacrifice** — what you give up to get something else.

Example

If a firm uses land to build a factory instead of renting it out, the **opportunity cost** is the **rental income forgone**.

OPPORTUNITY COST IN MANAGERIAL DECISION-MAKING

Opportunity cost plays a **key role** in making efficient economic and business decisions.
It reflects the **value of the next best alternative** foregone when a choice is made.

Economic Significance of Opportunity Cost

1. Helps Determine Relative Prices

If the same resources can produce **1 table or 3 chairs**, then the price of **1 table ≈ price of 3 chairs**.

This guides pricing based on alternative outputs.

2. Helps Set Normal Remuneration for Factors

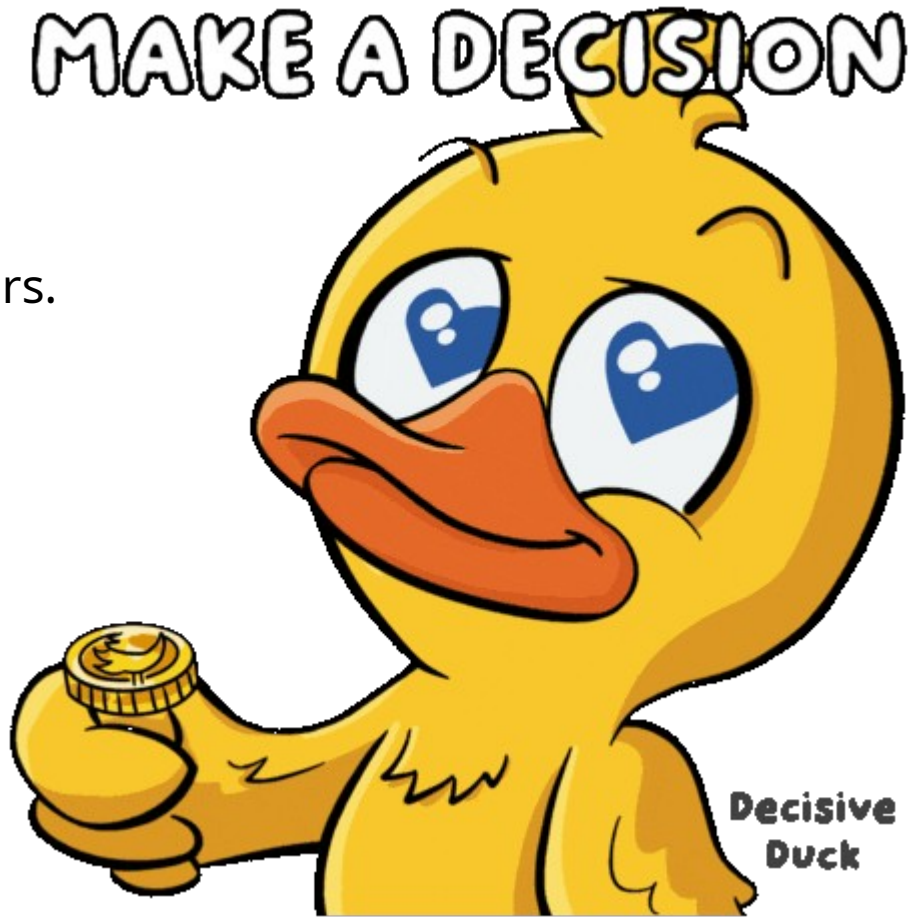
A **college professor** can earn **₹40,000/month** as a bank officer.
To retain him in the college, the salary must match or exceed this.
Opportunity cost = ₹40,000

OPPORTUNITY COST IN MANAGERIAL DECISION-MAKING

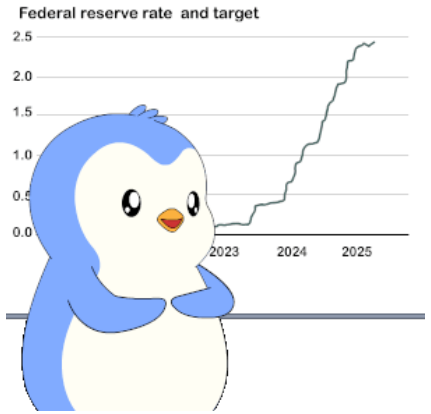
3. Aids in Optimal Resource Allocation

If **1 table = 3 chairs**, and

- Price of 1 chair = ₹100 → 3 chairs = ₹300
- Price of 1 table = ₹400
  Then it's **more profitable to produce 1 table** than 3 chairs.
- 👉 Opportunity cost analysis helps maximize returns.



4. DISCOUNTING PRINCIPLE



Time Value of Money (TVM)

This concept is an **extension of the time perspective** in decision-making.

Since the **future is uncertain and incalculable**, decisions involving time inherently carry **risk and uncertainty**.

Core Idea

"A rupee today is worth more than a rupee two years from now."

This is **not just due to inflation or uncertainty**.

The key reason is: **Money today can be invested to earn a return**, which is **not possible** if the money is received in the future.

DISCOUNTING: UNDERSTANDING PRESENT VALUE

Discounting is the process of converting **future amounts of money** into their **present value**.

It reflects the **time value of money**, recognizing that a **rupee today is worth more than a rupee in the future**.

Why Discounting Matters

Since money can **earn interest over time**, future money must be **discounted** to compare it fairly with money today.

Example

💰 **Rs.100 today** invested at **10% interest** becomes **Rs.110 next year**.
So, **Rs.110 next year = Rs.100 today**
👉 This means **Rs.110 is discounted** to Rs.100 at 10%.

DISCOUNTING PRINCIPLE, FORMULA

Discounting Principle :

Present value :

$$PV = \frac{FV}{(1+r)},$$

Compounding Principle :

Compounding calculates the **future value** of a current investment by adding **earned interest to the principal**.

Interest is earned on both the **original amount** and the **accumulated interest** over time.

$$F_v = Pv \cdot \left(1 + \frac{r}{100}\right)$$

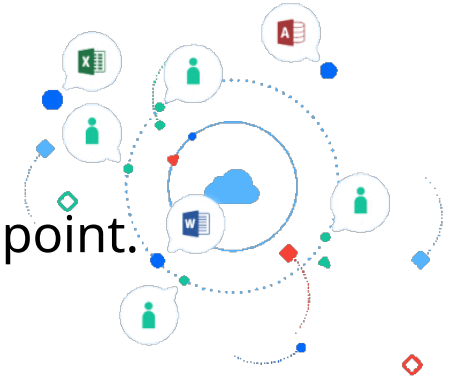
5. EQUI-MARGINAL PRINCIPLE

The Equi marginal Principle means allocating limited resources (money, time, labor, raw material) across different uses in such a way that:

{Marginal Benefit per unit of resource is equal in all uses.}

* In simple words: A manager gets maximum profit when the last rupee spent in every activity gives the same return.

Example in Business:



Case: A company has ₹1,00,000 for advertising in Delhi and Mumbai.

If all money is spent in Delhi → extra ads bring less and less sales after some point.

If all is spent in Mumbai → same problem.

Best decision: Divide the money between Delhi & Mumbai so that the last rupee spent in each city gives the same sales increase.

KEY MANAGERIAL LESSON:

Helps in resource allocation.

Ensures cost minimization and profit maximization.
Prevents over-investment in one area.

Applicable in:

Budget allocation

Production planning

Marketing & Advertising

Human resource management

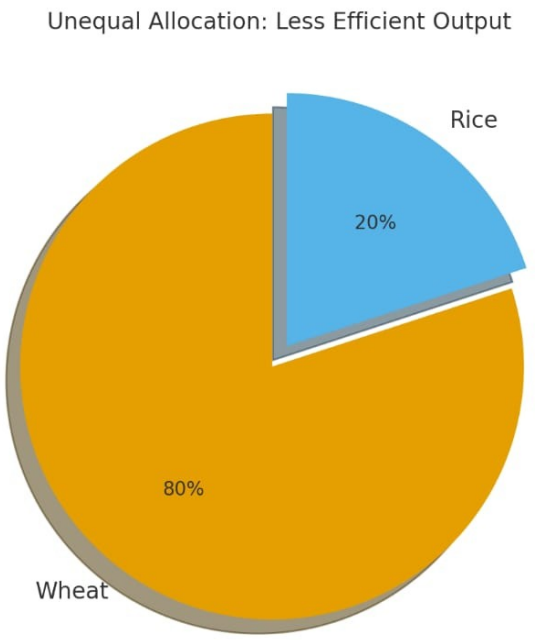
A farmer has 10 acres of land and can grow wheat or rice.

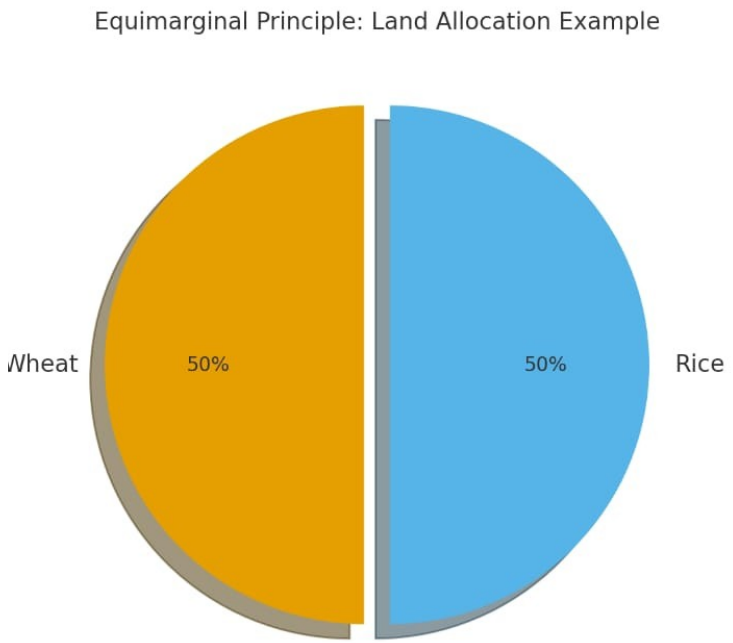
If he uses all land for wheat → extra yield decreases after some point.

If he uses all land for rice → same problem.

Best choice: Divide land between wheat and rice so that last acre of land on both crops gives the same yield (benefit).

This balanced allocation increases the farmer's total output.





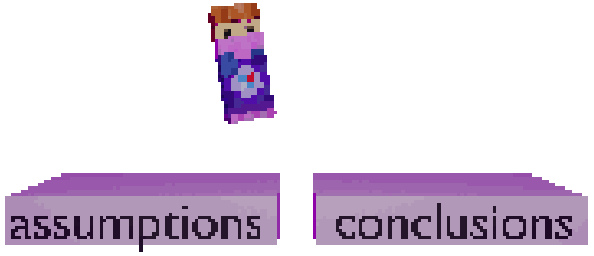
CONCLUSION

The fundamental principles of managerial economics

help managers make effective decisions by analyzing costs, benefits, and market behavior.

By applying these principles, businesses can optimize resources, maximize profits, and respond efficiently to changing economic conditions.

Understanding these principles is essential for successful and informed managerial decision-making."



THANK YOU

Sawan Kumar:25272240
Shalu Singh:25272002
Shipra Singh:25272093
Shail Yadav:25272028